Olist e-commerce: late deliveries are the biggest drag on ratings

Revenue	Delivered Orders	Average Order Value	Late %	Average Review
R$ 15.37M	96,211	R$ 159.79	6.8%	4.16

Purchase date

1/1/2017 — 8/31/2018

Customer state

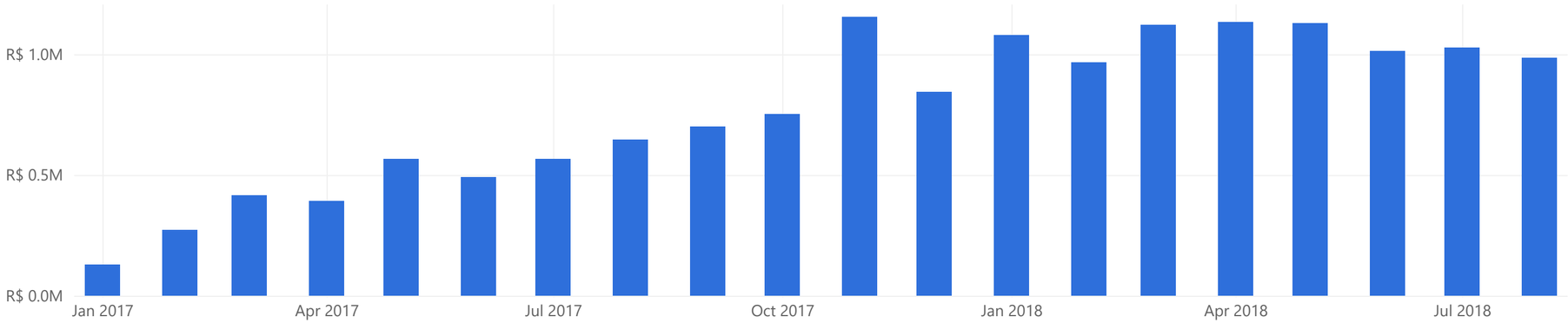
All

Product category

All

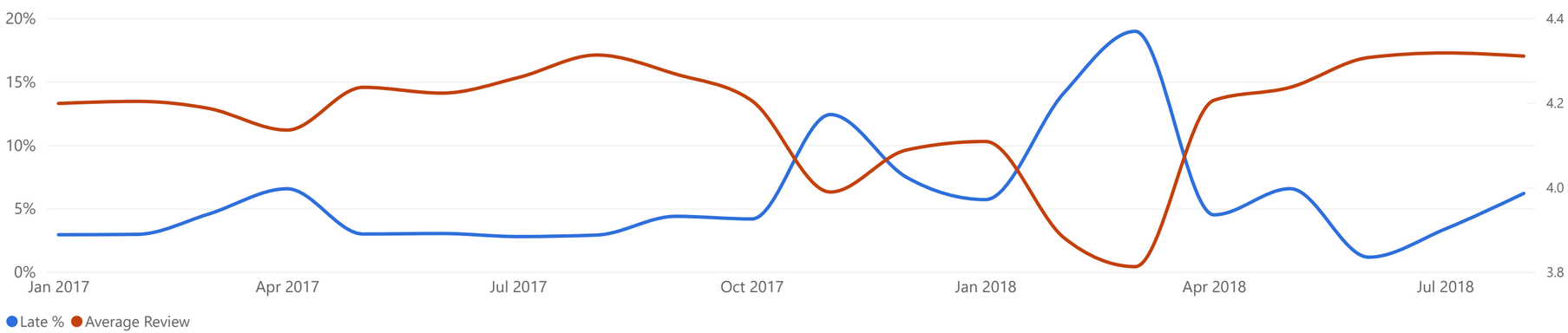
Monthly revenue (delivered orders)

Hover over a bar to see month-on-month growth



When late deliveries rise, ratings fall

Blue = % of orders delivered late (left axis) · Orange = average review out of 5 (right axis)



What this page shows

Revenue grew steadily through 2017 and levelled off in 2018.

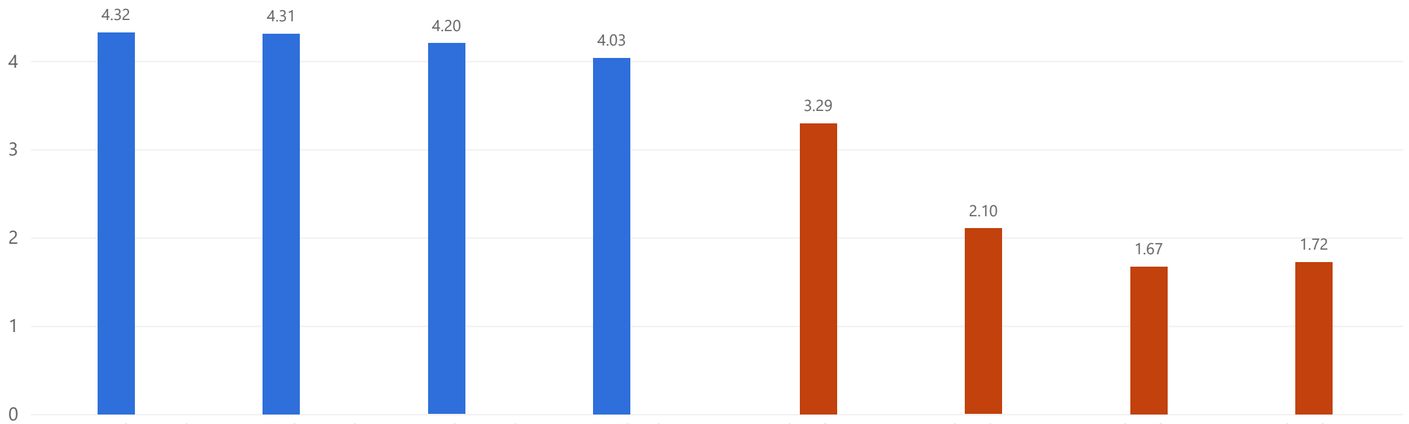
Late deliveries spiked in Nov 2017 and again in Feb-Mar 2018. Each time, the average review dipped in the same months.

The next page shows why: customers rate the wait, not the product.

Delivery & customer experience: customers rate the wait, not the product

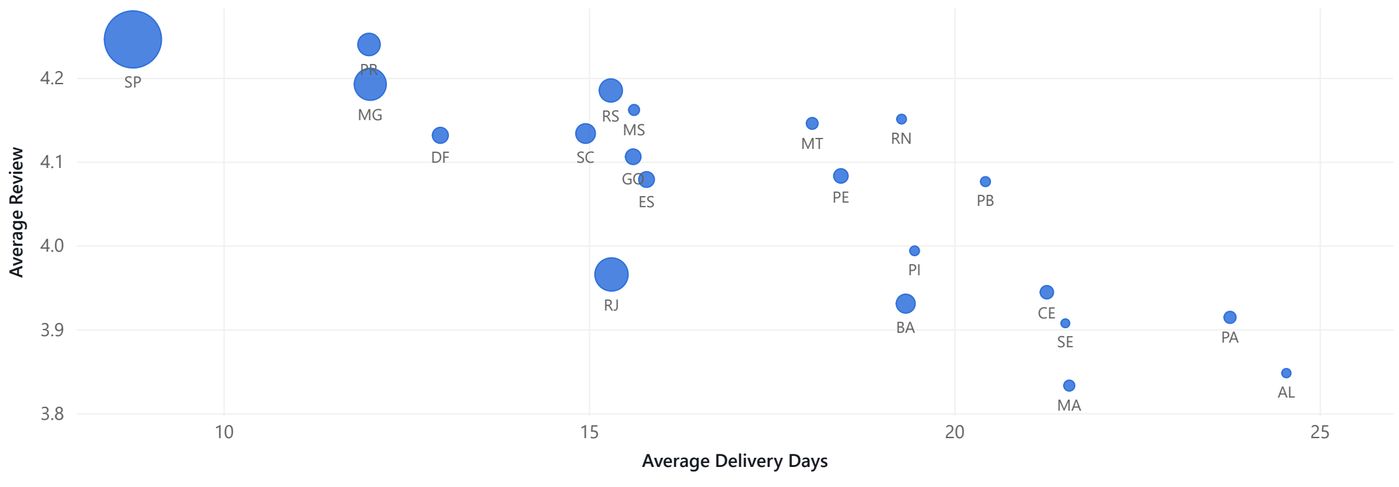
Arrive late and ratings fall from about 4.3 to under 2 stars

Average review (out of 5) by when the parcel arrived vs the promised date · Blue = early or on time · Orange = late



Slower states get worse reviews (states with 300+ orders)

Each bubble is a state · Across = average delivery time (days) · Up = average review · Bubble size = orders



Late Reviews Before Arrival %

74%

One-Star %

9.8%

Why late orders get bad reviews

On-time and early orders average about 4.0 to 4.3 stars. Once a parcel is late, the average drops fast: about 3.3 stars at 1-3 days late and under 2 stars beyond a week.

74% of late-order reviews were written before the parcel arrived. Customers are rating the wait, not the product.

States with longer delivery times get lower reviews (bottom chart).

Note: this page covers all dates.

Customers & retention: Olist is a one-purchase business

Customers
94,990

Customers who came back on another day
2.2%

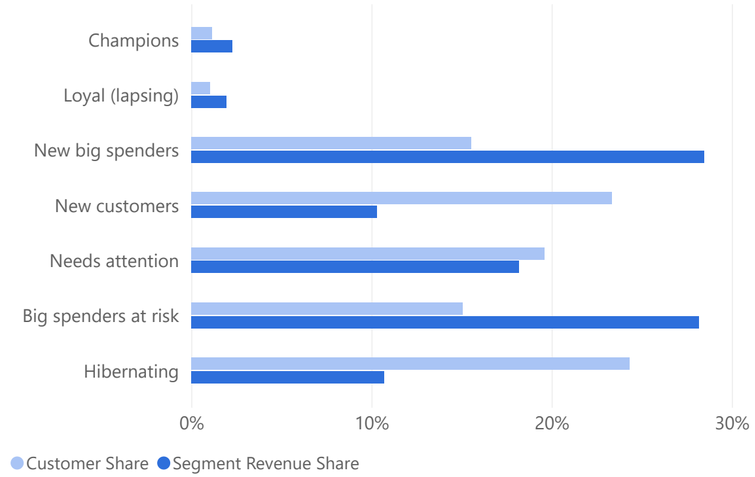
Average Spend per Customer
R$ 165.65

Cohort retention: % of each month's new customers who came back (columns = months after first purchase)

cohort_month	1	2	3	4	5	6	7	8	9	10	11	12
Jan 2017	0.40	0.27	0.13	0.40	0.13	0.40	0.13	0.13	0.00	0.40	0.13	0.66
Feb 2017	0.24	0.30	0.12	0.41	0.12	0.24	0.18	0.12	0.18	0.12	0.30	0.12
Mar 2017	0.51	0.35	0.39	0.35	0.16	0.16	0.31	0.35	0.08	0.39	0.12	0.23
Apr 2017	0.60	0.22	0.17	0.30	0.26	0.34	0.30	0.30	0.17	0.26	0.09	0.09
May 2017	0.48	0.48	0.40	0.31	0.34	0.42	0.14	0.25	0.25	0.25	0.34	0.25
Jun 2017	0.45	0.35	0.39	0.26	0.39	0.35	0.23	0.13	0.23	0.32	0.32	0.16
Jul 2017	0.52	0.34	0.24	0.29	0.21	0.31	0.10	0.18	0.26	0.21	0.29	0.13
Aug 2017	0.68	0.34	0.27	0.36	0.53	0.29	0.27	0.15	0.15	0.24	0.19	0.12
Sep 2017	0.69	0.54	0.29	0.44	0.22	0.22	0.25	0.29	0.17	0.27	0.07	0.00
Oct 2017	0.71	0.25	0.09	0.23	0.20	0.20	0.36	0.27	0.20	0.20	0.00	0.00
Nov 2017	0.56	0.39	0.17	0.19	0.18	0.11	0.19	0.13	0.06	0.00	0.00	0.00
Dec 2017	0.22	0.28	0.35	0.26	0.20	0.17	0.04	0.22	0.00	0.00	0.00	0.00
Jan 2018	0.33	0.36	0.29	0.29	0.16	0.17	0.23	0.00	0.00	0.00	0.00	0.00
Feb 2018	0.36	0.39	0.30	0.27	0.22	0.20	0.00	0.00	0.00	0.00	0.00	0.00
Mar 2018	0.40	0.30	0.29	0.13	0.12	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Apr 2018	0.58	0.31	0.24	0.13	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
May 2018	0.52	0.26	0.20	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Jun 2018	0.42	0.27	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

RFM segments: share of customers vs share of revenue

Light blue = share of customers · Dark blue = share of revenue



Segment	Customers	Share of revenue	Suggested action
Champions	1,093	2.3%	VIP perks, referral programme
Loyal (lapsing)	972	1.9%	Personal win-back offer
New big spenders	14,753	28.4%	Fast 2nd-purchase nudge, cross-sell
New customers	22,150	10.3%	Onboarding, first-repeat discount
Needs attention	18,617	18.2%	Reminder with recommendations
Big spenders at risk	14,308	28.2%	Targeted win-back on their category
Hibernating	23,097	10.7%	Low-cost reactivation only
Total	**94,990**	**100.0%**	

Executive summary: fix delivery promises first, then build repeat purchases

Late-order reviews written before the parcel arrived

74%

Customers who came back on another day

2.2%

Revenue from SP, RJ and MG

62.5%

1. Missed delivery promises drive bad reviews

Late orders average 2.27 stars vs 4.29 for on-time orders.

74% of late-order reviews are written before the parcel arrives: customers rate the wait, not the product.

Slower states get worse reviews (correlation -0.84 across states with 300+ orders).

What to do
- Set honest delivery dates by region, based on real delivery times.
- Send the review request after delivery is confirmed, not around the promised date.
- Warn customers early when a parcel is running late.

2. Olist is a one-purchase business

Only 2.2% of customers came back on another day.

Those who return take a median of 74 days, but 30% come back within 30 days.

The New big spenders segment is high value and recent: the best group to win a second order from.

What to do
- Build a second-purchase programme: a well-timed nudge in the first 30 to 60 days.
- Start with New big spenders, then New customers.
- Track repeat rate as the main growth KPI. Moving from 2.2% to 3% would mean about 36% more returning customers.

3. Revenue is concentrated

SP, RJ and MG bring in 62.5% of revenue. Health & Beauty is the top category.

What to do
- Protect delivery reliability in the top 3 states first.
- Then use honest delivery promises to grow in slower regions.

Caveats
- Public, anonymised data from 2016-2018: use the patterns, not the exact numbers.
- The links shown are strong associations, not proof of cause. A simple test (sending review requests after delivery to half of customers) would confirm the effect.